

accounting policy in order to increase its profits. The profit before tax that year (year ended 31 March 2010) was Rs. 108.12 lakh (previous year Rs. 309.80 lakh). Had this adjustment not been made, the company would have suffered a loss of Rs. 4.76 lakh. The company had also withdrawn Rs. 35.34 lakh from the revaluation reserve. It was also stated in that company's annual report that "no provision had been made for Rs. 16.39 lakh being the fall in the break-up value of unquoted shares in wholly owned subsidiary companies" and "the income tax liability amounting to Rs. 36.41 lakh relating to prior years has been adjusted against the profits transferred to the General Reserve in the respective years". The latter points out that the tax charge had been adjusted directly with reserves as opposed to routing it through the Profit and Loss account. Had that been done the profit after tax would have further reduced. Similar comments are made in the notes to the accounts of other companies also.

The more common notes one comes across are:

1. Whether provisions for known or likely losses have been made.
2. Estimated value of contracts outstanding.
3. Interest not provided for.
4. Arrangements agreed by the company with third parties.
5. Agreements with labour.

The importance of these notes cannot be overstressed. It is imperative that investors read these carefully.